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The Dark Side of Customer Analytics

The NPTEL logo is a circular emblem with a stylized flower or star in the center. The petals or rays are colored in shades of pink, orange, and yellow. The word "NPTEL" is written in a bold, sans-serif font, with the "N" and "P" in orange and "TEL" in yellow. The logo is positioned behind the main title text.

Thomas H.Davenport and Jeanne G.Harries



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- Dallas-based superMarket retail store chain in the US
- In-house analytics, employed pattern-based approach to issue coupons
- Collected customer data through loyalty programs

- Founded in year 1972
- One of the largest life and health insurance company in the US
- Among the best in the industry at evaluating external sources of data

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Four commentators offered expert advice



George L.Jones
President & CEO
Borders Group, Michigan



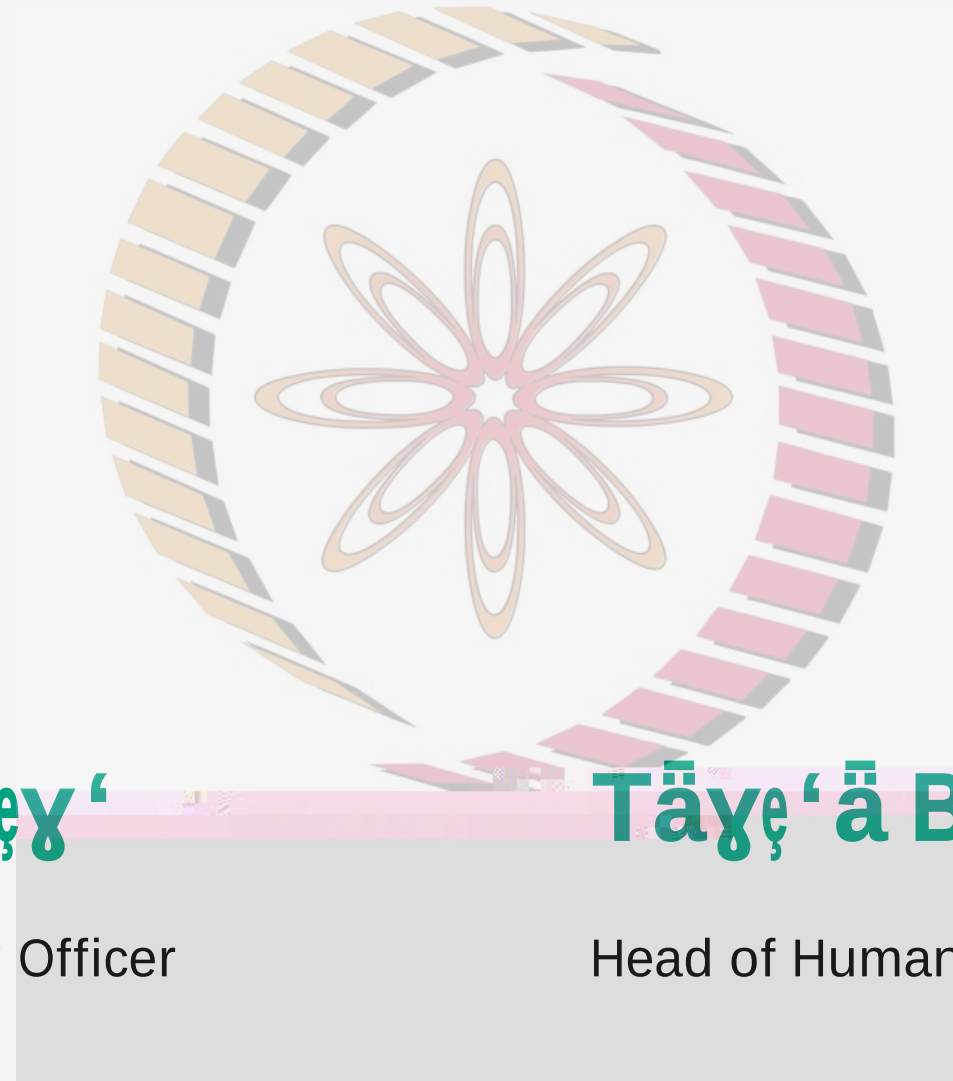
Katherine N.Lemon
Associate Professor
Boston College of Management



David Norton
Vice President of relationship marketing
Harrah's Entertaining, Las Vegas

Michael B.McCallister
President & CEO of Humana
health benefits company, Louisville

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Chief Analyst

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Chief Operating Officer

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Head of Human Resource

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Chief Executive Officer

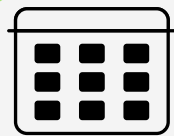


Current Scenario



Shopping at local ShopSense supermarket; flying to Cincinnati to meet IFA's senior team

14 months earlier, IFA & ShopSense joined into venture - 10 years' worth ShopSense data sharing



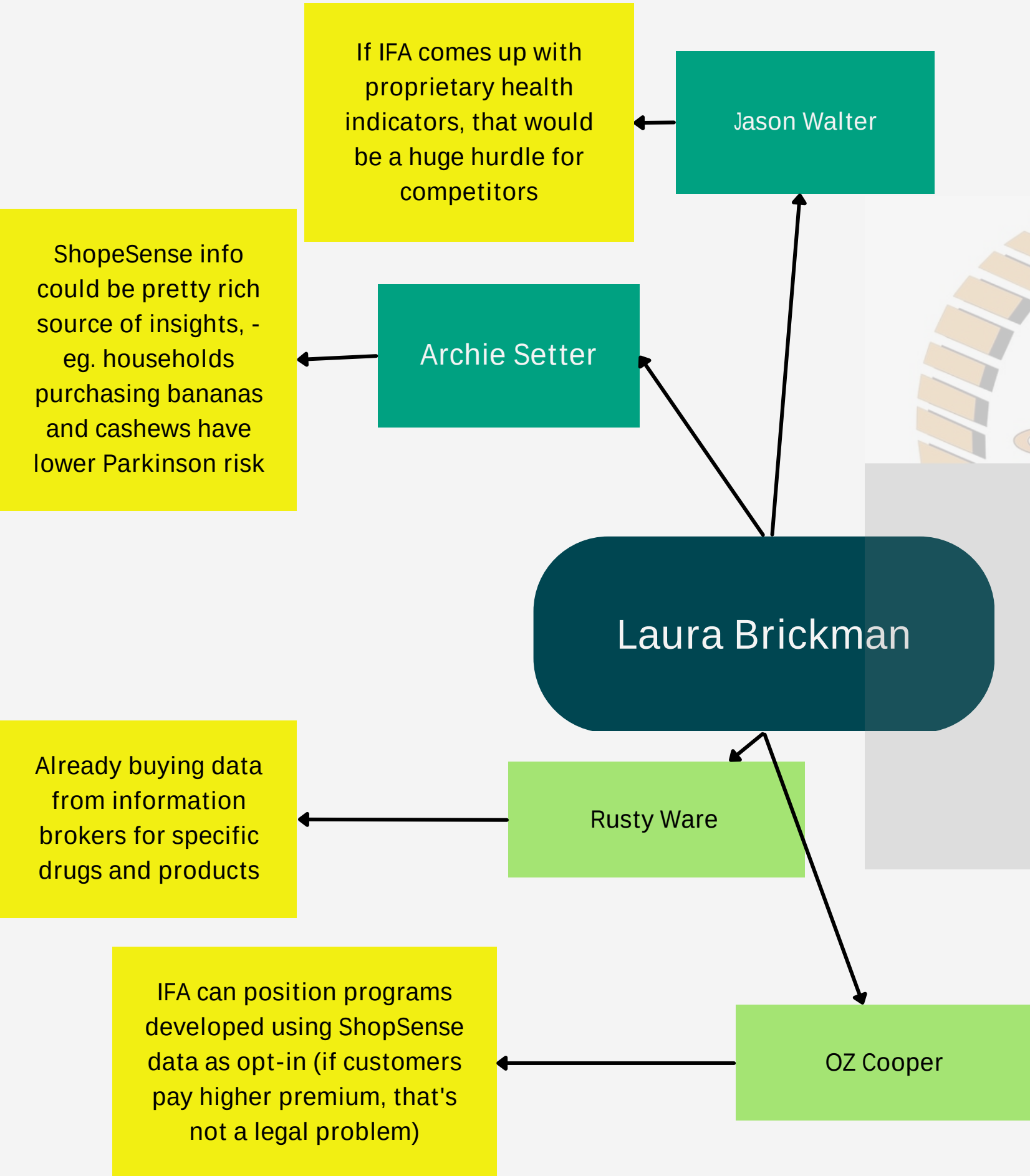
Laura trying to seek IFA management approval to buy more ShopSense data



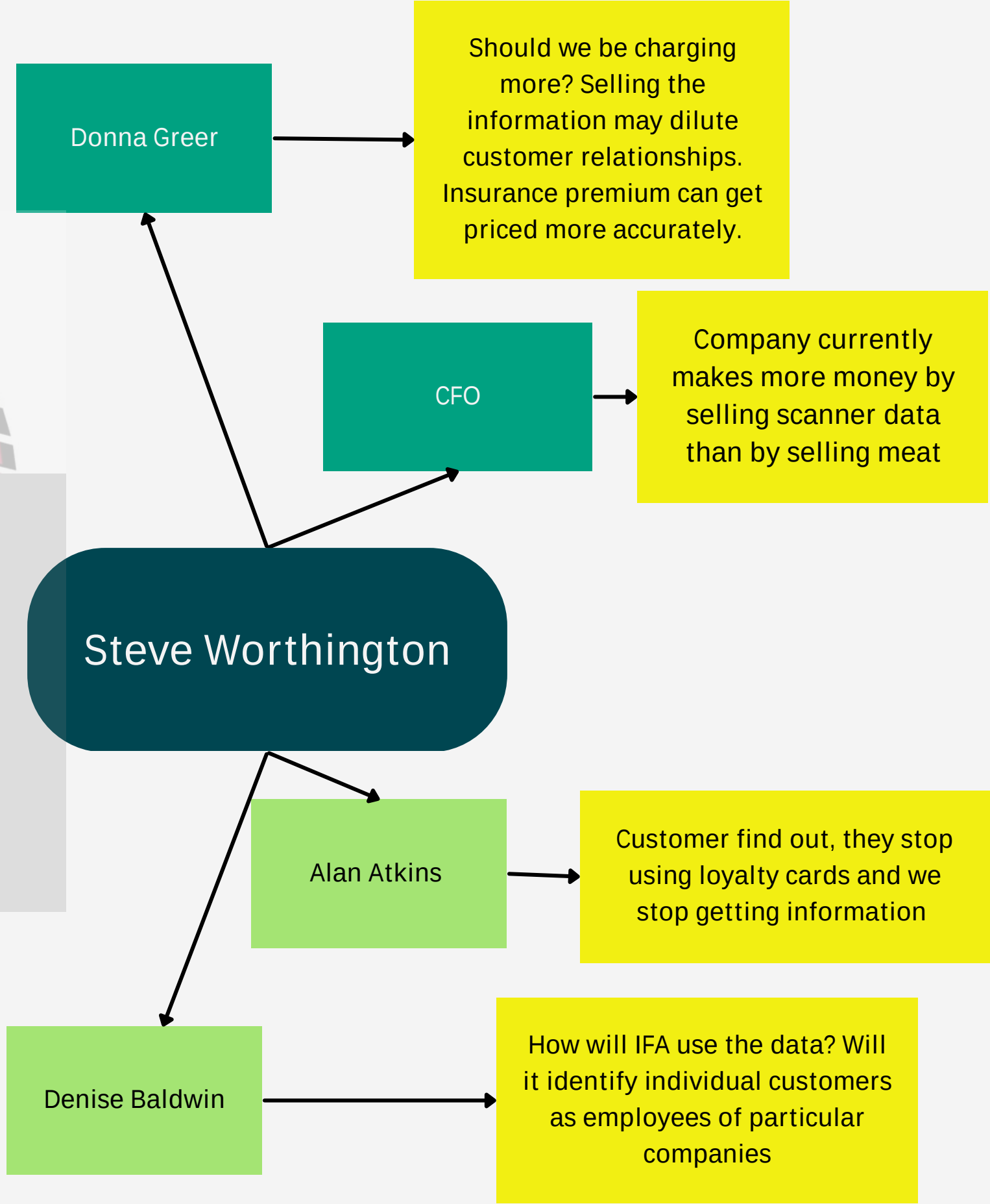
Both management teams see potential in the deal but some members have inhibitions

Steve Worthington hoping to persuade ShopSense CEO and senior team to approve terms to data sale

IFA Management View

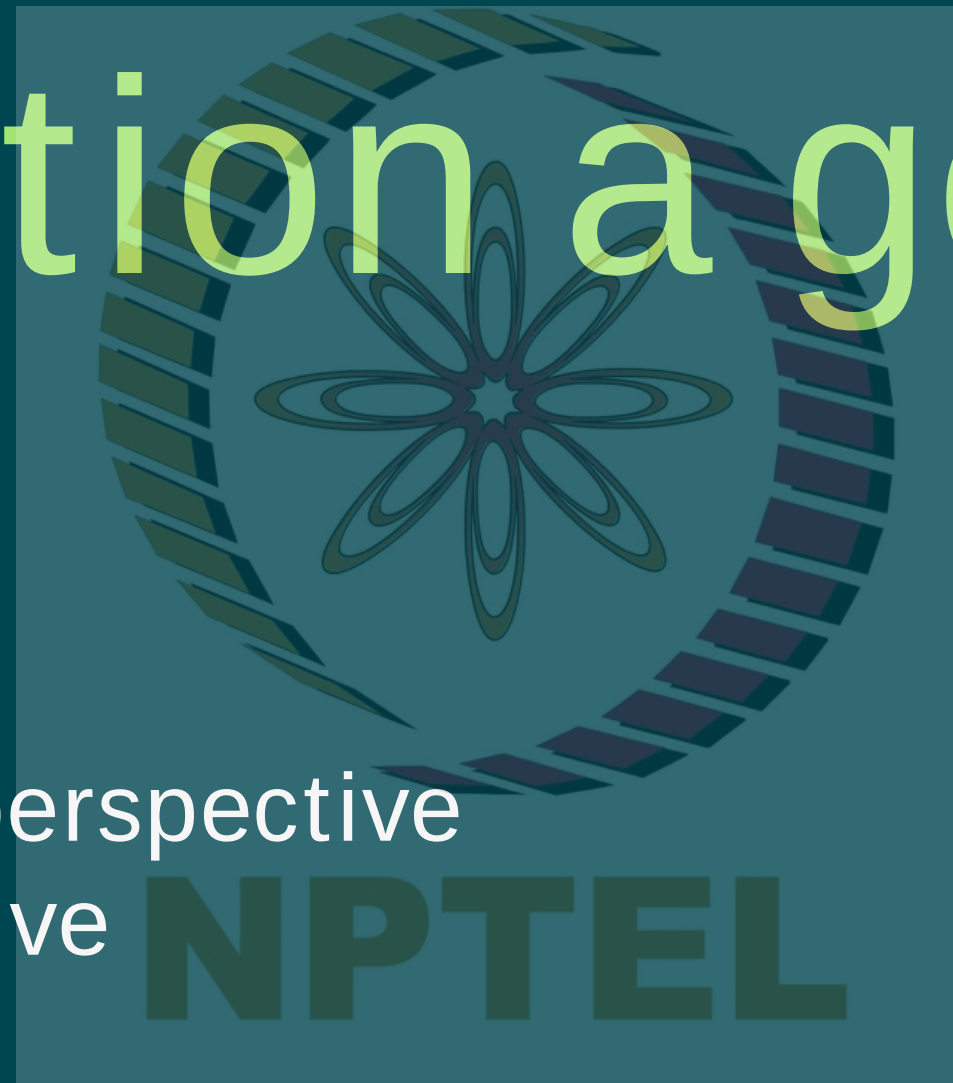


ShopSense Management View



Is the proposed collaboration a good deal?

- ShopSense perspective
- IFA perspective



ShopSense Perspective

Pros

- Deal legal in all the US states ShopSense operates in
- Data monetization - \$1bn additional annual profit
- Data could be used to develop wellness programmes by the insurer

Cons

- Customer relationships may be harmed - concerns around data sharing
- Customers may opt out of loyalty programmes preventing the company from getting further data
- Risk to company reputation; no control over any customer programme

Expert Opinion:

- Customers may lose trust; transparency and value proposition should be disclosed
- Look at whether some data should be excluded, programmes may be marketed jointly

IFA Perspective

Pros

- Data could provide insights into drivers of disease and thereby ability to price products better
- Deal is legal and public understands that insurers perform risk analyses
- Data could be used to develop wellness programmes/offer discounts

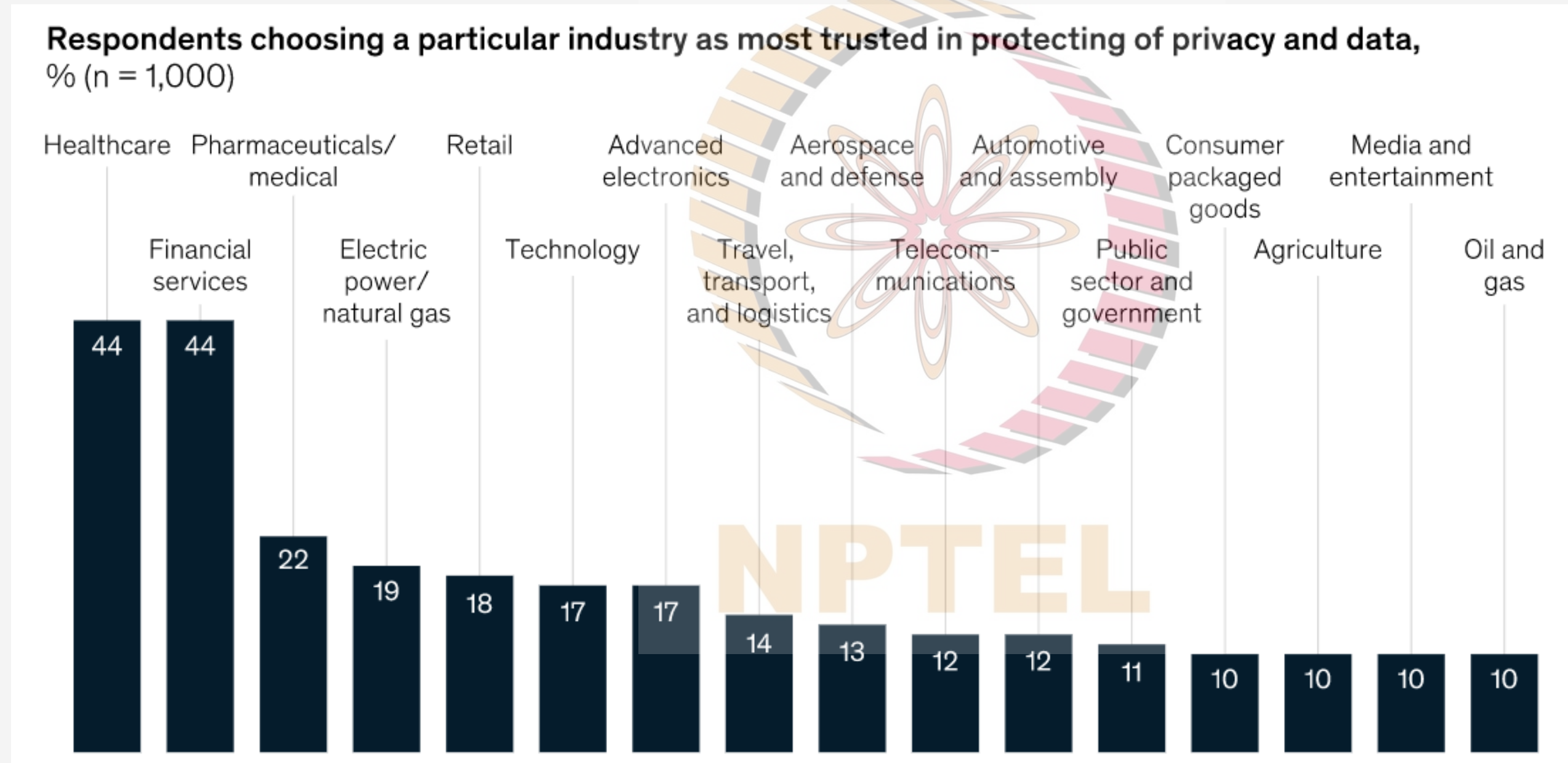
Expert Opinion:

- Integrity of customer data should be protected; needs to be 'win-win'
- Risk of public backlash; customers may reconsider the relationship with IFA
- Ethical behaviour needs to be inculcated

Cons

- Accuracy of data and correlation with health unproven - people may buy for others
- Battered customer syndrome
- Uncertainty on insights that may be gained - find something that it is better of not knowing

Trustworthiness Perception



Source: McKinsey - 2019 survey of Consumers on Data Privacy and Protection

Ethical Data Protection Principles



Purpose Limitation

Personal data may be processed only for the purpose for which it was collected

Transparency requirement

Customers should be able to recognize the purpose for which data is being processed and decide about their personal data

Data minimization

Collect only necessary data as required for processing

Thank you!

